

China: A property market “K-shape” is materialising

In our recent thematic note (see *China: AI boom, property bust and K-shapes*, 27 May 2026), we stated that, “As the fruits of AI-driven growth are mainly reaped by a few selected ‘smart’ cities, especially the four top-tier ones, a real property market recovery may only take place in those cities, especially as property restrictions there have been lifted.” Recent housing data show an evident geographic divergence and lend support to our view. Housing prices in a handful of “smart” cities show clear signs of stabilization, while price declines in most lower-tier cities have worsened. On net, overall housing prices have fallen at a faster pace, leading to heightened downward pressures on aggregate *domestic demand*. This supports our views that the stabilization across a few large cities cannot fully offset the weakness in other cities, and that the AI boom might not be a cure for China's economic woes, inflicted largely by the property bust. Beijing still may eventually be impelled to step up policy measures to clean up the bad debt in the property sector and speed up fiscal reform to support those cities that have been left behind.

Clearer signs of price stabilization in “smart” cities, especially those in the top tier

Amid the AI boom, existing home prices in tier-1 cities have shown further signs of stabilization, with three consecutive months of 0.4% m-o-m gains, while a couple of tier-2 cities have improved mildly. Shanghai emerged as the best performer among the NBS 70 surveyed cities, with existing home prices rising by 0.6% m-o-m in May and a cumulative gain of 1.9% from the January lows. Shenzhen reported a 0.6% gain in May, on par with Shanghai, backed by the latest *easing* of home purchase restrictions. Beijing and Guangzhou also posted consecutive mild price upticks. Hangzhou and Hefei are among the few tier-2 cities showing tentative positive market signals. By contrast, housing price declines worsened in most lower-tier cities, leading to a wider decline in national average housing prices again to 0.26% m-o-m in May, after the price decline narrowed over four straight months to a 0.23% decrease in April.

Property sales and investment deteriorated in April-May

Despite signs of stabilization in tier-1 cities, national property indicators have broadly worsened in recent months, pointing to a deeper contraction in Q2. Property investment growth deteriorated markedly to -22.3% y-o-y in April-May from -11.2% in Q1. Growth of new home sales by floor space fell to -11.4% y-o-y in April-May from -10.4% in Q1, while growth of new home sales by value increased to -8.7% from -16.7%, likely reflecting the recent stabilization in tier-1 cities, which account for about 5% of the national total by floor space and about 18% by value. In the first five months of this year, new home sales contracted by 10.8% by floor space and 13.5% by value, respectively, worsening from contractions of 8.7% and 12.6% in 2025, 47.7% and 55.5% below levels seen in January-May 2021. The top 100 developers *fared worse*. Their contract sales dropped by 20.1% y-o-y by floor space and by 15.3% by value in January-May, 84.3% and 77.1% below levels seen in January-May 2021.

Uneven wealth effects from higher stock indices

The AI boom is being reflected in higher stock prices, especially in tech-related sectors, as tech stocks now account for more than 30% of the total market capitalization of China's A-share market. As financial centers in China, Shanghai and Shenzhen's housing markets should benefit from the stock market rally through two channels: uneven wealth effects from equity price gains and improved compensation for financial professionals amid surging stock trading volumes. Although the buoyant stock markets have had limited nationwide wealth effects and a minimal overall economic impact, as we *predicted* in September 2025, some wealthy investors likely benefited disproportionately, widening the inequalities within the population.

Research Analysts

Asia Economics

Jing Wang - NIHK

jing.wang@nomura.com

+852 2252 1011

Ting Lu - NIHK

ting.lu@nomura.com

+852 2252 1306

A geographic “K-shape” across housing markets is in the making

Amid the AI boom, China's housing prices have displayed rising evidence of a geographic divergence (i.e., K-shape). Tier-1 cities have broadly stabilized, while a few tier-2 cities have improved mildly. In May, four tier-1 cities logged an average 0.4% m-o-m gain in existing home prices for three straight months. Shanghai and Shenzhen led with 0.6% monthly rises, backed by increased transaction volumes and shrinking housing inventories; Beijing and Guangzhou also posted consecutive mild price upticks. Private Centaline price indices further corroborate official price data. Hangzhou and Hefei are among the few tier-2 cities showing tentative positive market signals. By contrast, housing price declines worsened in most lower-tier cities, leading to a wider decline in national average housing prices.

Shanghai

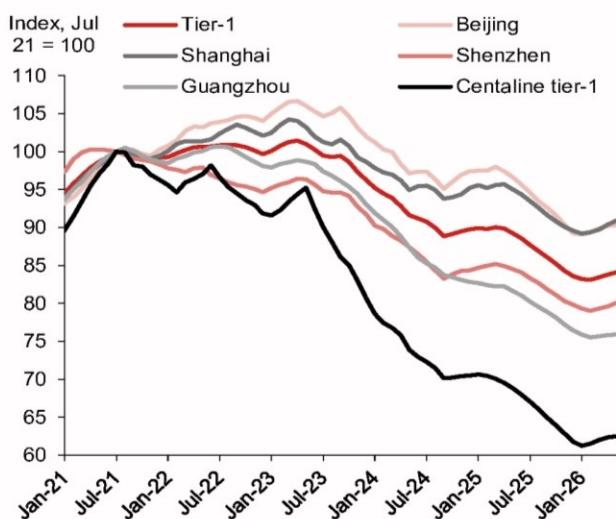
The financial hub Shanghai stands out as the strongest performer among all tier-1 cities, as well as all 70 cities surveyed by NBS. Its existing home prices rose 0.6% m-o-m in May (Figure 1), extending the uptrend to four consecutive months, with a cumulative gain of 1.9% from the low in January. These steady price gains are firmly backed by robust transaction volumes. On a year-on-year basis, secondary home transaction volumes in Shanghai grew by a moderate 1.3% in Q1, before rising notably to 22.7% in April, 30.9% in May, and maintaining a strong 26.1 growth in the first 20 days of June. On 10 May, Shanghai recorded a secondary home transaction volume of 1,664 units, hitting *another* five-year high.

Meanwhile, housing prices are underpinned by the sharp decline in housing listings. As of 31 May, data from *Anjuke* show that Shanghai's active existing home listings have fallen to 309,205 units, which represents nearly a 20% y-o-y drop. Moreover, compared to a few months ago, Shanghai's housing price stabilization was not just supported by small and old existing homes. Statistics from *Lianjia* revealed a noticeable shift: in May, transactions of housing priced between RMB5-8mn jumped by 9.3% m-o-m, while transactions of properties priced below RMB3mn dipped by 2.6% m-o-m.

Shenzhen

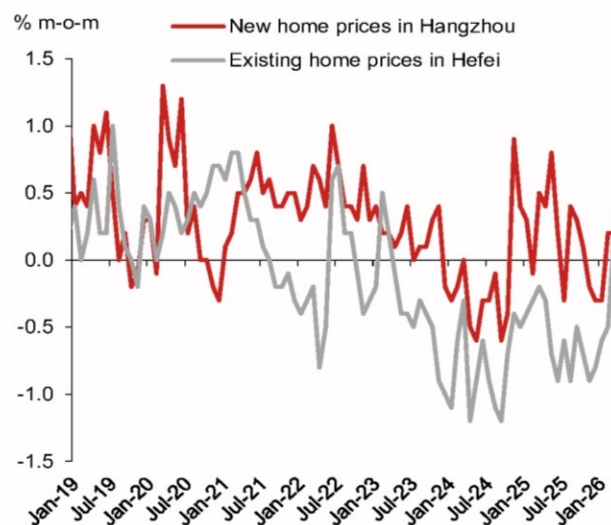
Property markets in Shenzhen, as another financial hub and headquarters to global tech giants like Huawei, also experienced substantial price appreciation in May, with existing home prices climbing by 0.6% m-o-m, on par with Shanghai. This represents three straight months of expansion and amounts to a cumulative gain of 1.3%. Transaction volumes have staged a notable turnaround: after a 15.3% y-o-y decline in Q1, transaction volume growth turned positive, rising to 1.7% in April and then increasing further to 17.2% in May; it has since held steady at 11.4% in the first 20 days of June. This recovery is partly attributable to further relaxation of home purchase restrictions unveiled on *30 April*.

Fig. 1: Existing home prices for tier-1 cities



Note: Existing home prices reported for each tier-1 city are from the NBS.
Source: Centaline, NBS, Wind, Nomura Global Economics.

Fig. 2: Home prices in Hangzhou and Hefei



Source: NBS, Wind, Nomura Global Economics.

Other two tier-1 cities

Housing prices in the remaining two tier-1 cities have also stabilised notably, especially in Beijing. Although Beijing's price change in May stood at a modest gain of 0.1% m-o-m, it has achieved four consecutive months of sequential increases, with a cumulative gain of 1.4%, the second highest among all tier-1 cities. Guangzhou's housing prices have rebounded for three consecutive months, posting a total increase of 0.5%.

Evidence from private data

Official price trends are well corroborated by more volatile independent market indicators. Based on the Centaline Leading Index (CLI), which is compiled based on existing home prices, home prices in Shanghai, Beijing, Shenzhen and Guangzhou have rebounded by 4.5%, 3.0%, 2.3%, and 0.3%, respectively, in May from their January lows, with an average gain of 2.5% for the four tier-1 cities over this period.

Housing markets in a couple of tier-2 cities also improved, but mildly

A small number of second-tier cities have also exhibited tentative positive market signals, including Hangzhou and Hefei.

In Hangzhou, the home of DeepSeek and Alibaba, the decline in existing home prices has been narrowing consistently since last November, and the market finally stabilized in May. Notably, the city's new home market has outperformed remarkably: new home price growth turned positive in February and has since continues to rise, with a 0.5% m-o-m gain in May (Figure 2), ranking first among the 70 major monitored cities by the NBS. Given the absence of a substantial pickup in overall transaction volumes, this outstanding new home price growth is presumably driven mainly by high-end luxury property transactions.

In Hefei, which has secured a vital role in robotics and memory fabrication (e.g., CXMT), existing home prices in March posted their first sequential gain in three years, with a 0.2% m-o-m increase, followed with a 0.1% m-o-m gain in April and flat prices in May, showing initial signs of market stabilization. According to Hefei's housing authority, market sentiment picked up notably in March. Floor space of new and existing home sales jumped by 100.4% m-o-m and 112.9%, respectively, in March, with the year-on-year change of existing home sales at 7.9%.

The overall home price decline widened again in May

Despite steady home price gains of 0.4% in tier-1 cities, average existing home prices for the overall 70 cities declined by 0.26% m-o-m in May (Figure 3), worsening again after price declines narrowed over four straight months to a 0.23% decrease in April. The larger decline was driven by lower-tier cities, as price declines in tier-2 widened to -0.19% m-o-m in May from -0.10% in April, while the declines in tier-3/4 cities remained the deepest and were unchanged at -0.35%.

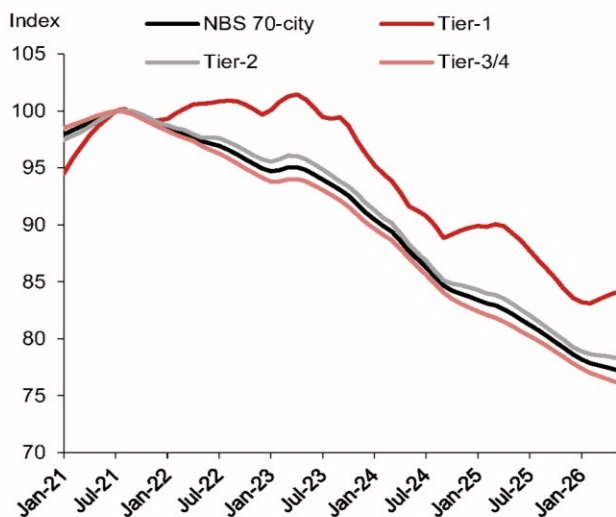
Among the 70 cities, 10 cities recorded month-on-month increases in existing home prices in May, less than the 12 recorded in April and 13 in March. Although the number of cities reporting year-on-year new home prices gains increased to 16 in May from 14 in March-April and 10 in February, we believe existing home prices might better reflect the home price trends in China, as prices of new home can be distorted by the rising share of luxury housing and regulatory factors.

The home price data for May are largely in line with the Iceberg index, a leading indicator based on the lowest listing housing prices, which recorded a 0.3% m-o-m decline in **May**, following a 0.4% decrease in April. As the Iceberg index weekly data indicated a decline of 0.4% m-o-m in the first two weeks of June, we see a limited rebound in June.

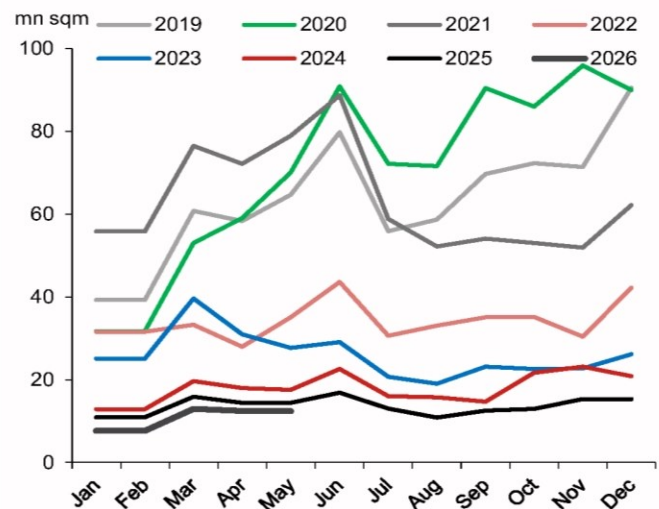
Property sales and investment data remained in a steep contraction

As tier-1 cities account for a small portion of national new home sales, especially by floor space, the stabilization in those cities is not sufficient to fully offset the national property downturn.

Indeed, property investment growth worsened to -24.3% y-o-y in May from -20.1% in April, below the market consensus forecast of -15.0% but close to our more cautious forecast of -20.0%. New home sales growth fell to -13.1% y-o-y by floor space and to -9.5% by value in May from -9.5% and -7.7%, respectively, in April. For other major property indicators, growth of new home starts, new home completions and funds for property investment reached -24.6% y-o-y, -19.9% and -21.5%, respectively, in May, compared with -26.6%, -18.8% and -21.8% in April.

Fig. 3: Existing home prices: K-shape in the making

Source: NBS, Wind, Nomura Global Economics.

Fig. 4: New home sales volume: CRIC's top 100 developers

Note: January and February data are presented as the same value as an average of these two months to smooth out LNY distortions.
Source: CRIC, Nomura Global Economics.

April-May data point to a likely deterioration in Q2. Growth of property investment worsened markedly to -22.3% y-o-y in April-May from -11.2% in Q1. Growth of new home sales by floor space fell to -11.4% y-o-y in April-May from -10.4% in Q1, while growth of new home sales by value increased to -8.7% from -16.7%, likely due to the recent stabilization in tier-1 cities, which account for about 5% of the national total by floor space and about 18% by value.

In the first five months of this year, new home sales by floor space and new home sales by value contracted by 10.8% and 13.8%, respectively, worsening from -8.7% and -12.6% in 2025, 47.7% and 55.5% below January-May 2021 levels.

Contract sales of the top 100 developers painted a *gloomier* picture. In detail, by floor space, sales growth fell slightly to -13.8% y-o-y in May from -13.5% in April (Figure 4), while by value, sales growth increased markedly to -0.2% y-o-y in May from -8.9% in April, with their year-to-date changes at -20.1% and -15.3%, respectively. Developers' contract sales by floor space and by value are 84.3% and 77.1%, respectively, below January-May 2021 levels.

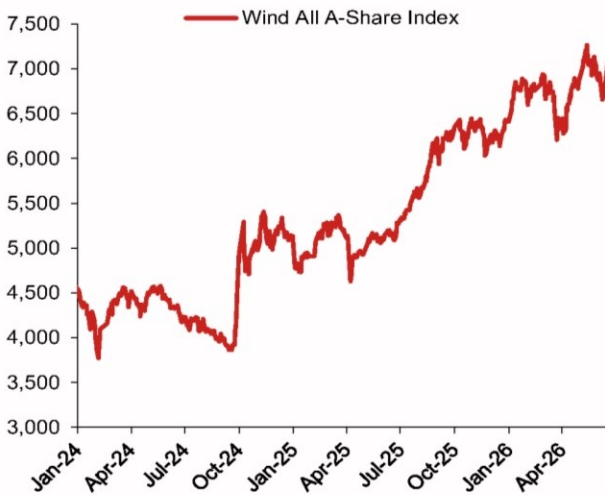
Wealth effects from rising stock indices

The AI boom is resulting in higher stock prices, especially for tech-related sectors. At the 2026 Lujiazui forum on 17 June, Wu Qing, chairman of the China Securities Regulatory Commission, said that tech stocks now account for more than 30% of the total market capitalization of China's A-share market, and tech companies make up 45% of listed firms with a market cap exceeding RMB100bn. As financial centers in China, housing markets in Shanghai and Shenzhen should benefit from the stock market rally through two channels: uneven wealth effects from equity price gains and improved compensation for financial professionals amid surging stock trading volumes.

- On wealth effects, from July 2025 to 18 June 2026, the Wind All-A Index, a holistic benchmark tracking the overall performance of all A-shares listed on the Shanghai, Shenzhen and Beijing stock exchanges, increased by 33.2% (Figure 5), which should have driven some wealth effects. The stock price retreat in March due to the Middle East conflict has already been fully recouped. According to *Bloomberg*, the stock rally was mainly driven by funds from high net-worth individuals, rather than inflows from household savings. Although the stock market rally in H2 2025 resulted in limited nationwide wealth effects and a minimal overall economic impact, as we *predicted* in September 2025, some wealthy investors likely benefited disproportionately.
- The surge in stock trading likely pushed up overall brokerage revenues, even though commission rates have declined over the last decade, and boosted the incomes of

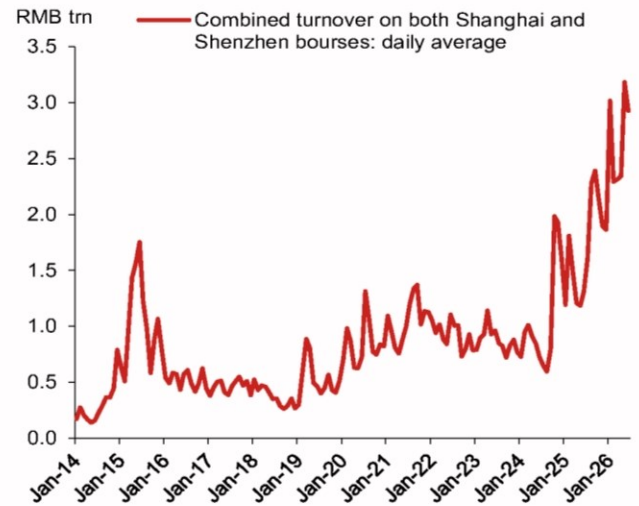
financial professionals. Daily average of stock trading volumes surged to new highs of RMB2.8trn in Q2 (as of 18 June) and RMB2.6trn in Q1 2026 (Figure 6), after jumping to RMB2.0trn in Q4 and RMB2.1trn in Q3 from RMB1.2trn in Q2 2025.

Fig. 5: Rising stock indices



Source: Wind, Nomura Global Economics.

Fig. 6: Surging stock trading volume: monthly average



Source: Wind, Nomura Global Economics.

Related recent reports:

China: AI boom, property bust and K-shapes, 27 May 2026

China: Shenzhen joins Shanghai in easing home purchase curbs, 30 April 2026

China: Little to extrapolate from green shoots in existing home markets, 10 April 2026

China: Shanghai eased curbs on home purchases again, 25 February 2026

China: Limited impact from easing the "Three Red Lines", 29 January 2026

China: Top party journal article calls for all-out efforts to stabilize property sector, 5 January 2026

China: Beijing might be preparing for a new round of property easing measures, 20 November 2025

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.
See [Disclaimers](#) for Nomura Group entity details.

Analyst Certification

We, Jing Wang and Ting Lu, hereby certify (1) that the views expressed in this Research report accurately reflect our personal views about any or all of the subject securities or issuers referred to in this Research report, (2) no part of our compensation was, is or will be directly or indirectly related to the specific recommendations or views expressed in this Research report and (3) no part of our compensation is tied to any specific investment banking transactions performed by Nomura Securities International, Inc., Nomura International plc or any other Nomura Group company.

Important Disclosures

Online availability of research and conflict-of-interest disclosures

Nomura Group research is available on www.nomuranow.com/research, Bloomberg, Capital IQ, Factset, LSEG.
Important disclosures may be read at <http://go.nomuranow.com/research/m/Disclosures> or requested from Nomura Securities International, Inc.
If you have any difficulties with the website, please email grpsupport@nomura.com for help.

The analysts responsible for preparing this report have received compensation based upon various factors including the firm's total revenues, a portion of which is generated by Investment Banking activities. Unless otherwise noted, the non-US analysts listed at the front of this report are not registered/qualified as research analysts under FINRA rules, may not be associated persons of NSI, and may not be subject to FINRA Rule 2241 restrictions on communications with covered companies, public appearances, and trading securities held by a research analyst account.

Nomura Global Financial Products Inc. (NGFP) Nomura Derivative Products Inc. (NDP) and Nomura International plc. (Nlplc) are registered with the Commodities Futures Trading Commission and the National Futures Association (NFA) as swap dealers. NGFP, NDPI, and Nlplc are generally engaged in the trading of swaps and other derivative products, any of which may be the subject of this report.

Disclaimers

This publication contains material that has been prepared by the Nomura Group entity identified on page 1 and, if applicable, with the contributions of one or more Nomura Group entities whose employees and their respective affiliations are specified on page 1 or identified elsewhere in this publication. The term "Nomura Group" used herein refers to Nomura Holdings, Inc. and its affiliates and subsidiaries including: (a) Nomura Securities Co., Ltd. ('NSC') Tokyo, Japan, (b) Nomura Financial Products Europe GmbH ('NFPE'), Germany, (c) Nomura International plc ('Nlplc'), UK, (d) Nomura Securities International, Inc. ('NSI'), New York, US, (e) Nomura International (Hong Kong) Ltd. ('NIHK'), Hong Kong, (f) Nomura Financial Investment (Korea) Co., Ltd. ('NFIK'), Korea (Information on Nomura analysts registered with the Korea Financial Investment Association ('KOFIA') can be found on the KOFIA Intranet at <http://dis.kofia.or.kr>, (g) Nomura Singapore Ltd. ('NSL'), Singapore (Registration number 197201440E, regulated by the Monetary Authority of Singapore) (h) Nomura Australia Ltd. ('NAL'), Australia (ABN 48 003 032 513), regulated by the Australian Securities and Investment Commission ('ASIC') and holder of an Australian financial services licence number 246412, (i) Nomura Securities Malaysia Sdn. Bhd. ('NSM'), Malaysia, (j) NIHK, Taipei Branch ('NITB'), Taiwan, (k) Nomura Financial Advisory and Securities (India) Private Limited ('NFASL'), Mumbai, India (Registered Address: Ceejay House, Level 11, Plot F, Shivsagar Estate, Dr. Annie Besant Road, Worli, Mumbai- 400 018, India; Tel: 91 22 4037 4037, Fax: 91 22 4037 4111; CIN No: U74140MH2007PTC169116, SEBI Registration No. for Stock Broking activities : INZ000255633; SEBI Registration No. for Merchant Banking : INM000011419; SEBI Registration No. for Research: INH000001014 - Compliance Officer: Ms. Pratiksha Tondwalkar, 91 22 40374904, grievance email: investorgrievancesra@nomura.com Webpage: [LINK](#)

For reports with respect to Indian public companies or authored by India-based NFASL research analysts: (i) Investment in securities markets is subject to market risks. Read all the related documents carefully before investing. (ii) Registration granted by SEBI, and certification from NISM in no way guarantee performance of the intermediary or provide any assurance of returns to investors. (iii) NFASL terms and conditions for availing research services is disclosed on NFASL webpage.

(l) Nomura Fiduciary Research & Consulting Co., Ltd. ('NFRFC') Tokyo, Japan. (m) Nomura Orient International Securities Co., Ltd ('NOI'), is a majority owned joint venture amongst Nomura Group, Orient International (Holding) Co., Ltd, and Shanghai Huangpu Investment Holding (Group) Co., Ltd. In accordance with the laws of the People's Republic of China ("PRC", excluding Hong Kong, Macau and Taiwan, for the purpose of this document), NOI is licensed in the PRC to provide securities research and investment recommendations and it operates independently from the other members of the Nomura Group; in particular, NOI's interests in PRC securities are not disclosed to, or aggregated with the holdings of, any other Nomura Group entities and the interests in PRC securities of other Nomura Group entities are not disclosed to, or aggregated with the holdings of, NOI. An individual name printed next to NOI on the front page of a research report indicates that individual is employed by NOI to provide research assistance to NIHK under a research partnership agreement. 'NSFSPL' next to an employee's name on the front page of a research report indicates that the individual is employed by Nomura Structured Finance Services Private Limited to provide assistance to certain Nomura entities under inter-company agreements. 'Verdhana' next to an individual's name on the front page of a research

report indicates that the individual is employed by PT Verdhana Sekuritas Indonesia ("Verdhana") to provide research assistance to NIKH under a research partnership agreement and neither Verdhana nor such individual is licensed outside of Indonesia.

THIS MATERIAL IS: (I) FOR YOUR PRIVATE INFORMATION, AND WE ARE NOT SOLICITING ANY ACTION BASED UPON IT; (II) NOT TO BE CONSTRUED AS AN OFFER TO SELL OR A SOLICITATION OF AN OFFER TO BUY ANY SECURITIES IN ANY JURISDICTION WHERE SUCH OFFER OR SOLICITATION WOULD BE ILLEGAL; AND (III) OTHER THAN DISCLOSURES RELATING TO THE NOMURA GROUP, BASED UPON INFORMATION FROM SOURCES THAT WE CONSIDER RELIABLE, BUT HAS NOT BEEN INDEPENDENTLY VERIFIED BY NOMURA GROUP.

Other than disclosures relating to the Nomura Group, the Nomura Group does not warrant, represent or undertake, express or implied, that the document is fair, accurate, complete, correct, reliable or fit for any particular purpose or merchantable, and to the maximum extent permissible by law and/or regulation, does not accept liability (in negligence or otherwise, and in whole or in part) for any act (or decision not to act) resulting from use of this document and related data. To the maximum extent permissible by law and/or regulation, all warranties and other assurances by the Nomura Group are hereby excluded and the Nomura Group shall have no liability (in negligence or otherwise, and in whole or in part) for any loss howsoever arising from the use, misuse, or distribution of this material or the information contained in this material or otherwise arising in connection therewith.

Opinions or estimates expressed are current opinions as of the original publication date appearing on this material and the information, including the opinions and estimates contained herein, are subject to change without notice. The Nomura Group, however, expressly disclaims any obligation, and therefore is under no duty, to update or revise this document. Any comments or statements made herein are those of the author(s) and may differ from views held by other parties within Nomura Group. Clients should consider whether any advice or recommendation in this report is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. The Nomura Group does not provide tax advice.

The Nomura Group, and/or its officers, directors, employees and affiliates, may, to the extent permitted by applicable law and/or regulation, deal as principal, agent, or otherwise, or have long or short positions in, or buy or sell, the securities, commodities or instruments, or options or other derivative instruments based thereon, of issuers or securities mentioned herein. The Nomura Group companies may also act as market maker or liquidity provider (within the meaning of applicable regulations in the UK) in the financial instruments of the issuer. Where the activity of market maker is carried out in accordance with the definition given to it by specific laws and regulations of the US or other jurisdictions, this will be separately disclosed within the specific issuer disclosures.

This document may contain information obtained from third parties, including, but not limited to, ratings from credit ratings agencies such as Standard & Poor's. The Nomura Group hereby expressly disclaims all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of the information obtained from third parties contained in this material or otherwise arising in connection therewith, and shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of any of the information obtained from third parties contained in this material or otherwise arising in connection therewith. Reproduction and distribution of third-party content in any form is prohibited except with the prior written permission of the related third-party. Third-party content providers do not, express or implied, guarantee the fairness, accuracy, completeness, correctness, timeliness or availability of any information, including ratings, and are not in any way responsible for any errors or omissions (negligent or otherwise), regardless of the cause, or for the results obtained from the use or misuse of such content. Third-party content providers give no express or implied warranties, including, but not limited to, any warranties of merchantability or fitness for a particular purpose or use. Third-party content providers shall not be liable (in negligence or otherwise, and in whole or in part) for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including lost income or profits and opportunity costs) in connection with any use or misuse of their content, including ratings. Credit ratings are statements of opinions and are not statements of fact or recommendations to purchase hold or sell securities. They do not address the suitability of securities or the suitability of securities for investment purposes, and should not be relied on as investment advice. Any MSCI sourced information in this document is the exclusive property of MSCI Inc. ("MSCI"). Without prior written permission of MSCI, this information and any other MSCI intellectual property may not be duplicated, reproduced, re-disseminated, redistributed or used, in whole or in part, for any purpose whatsoever, including creating any financial products and any indices. This information is provided on an "as is" basis. The user assumes the entire risk of any use made of this information. MSCI, its affiliates and any third party involved in, or related to, computing or compiling the information hereby expressly disclaim all representations, warranties or undertakings of originality, fairness, accuracy, completeness, correctness, merchantability or fitness for a particular purpose with respect to any of this material or the information contained in this material or otherwise arising in connection therewith. Without limiting any of the foregoing, in no event shall MSCI, any of its affiliates or any third party involved in, or related to, computing or compiling the information have any liability (in negligence or otherwise, and in whole or in part) for any damages of any kind. MSCI and the MSCI indexes are services marks of MSCI and its affiliates.

The intellectual property rights and any other rights, in Russell/Nomura Japan Equity Index belong to Nomura Fiduciary Research & Consulting Co., Ltd. ("NFR") and FTSE Russell ("Russell"). NFR and Russell do not guarantee fairness, accuracy, completeness, correctness, reliability, usefulness, marketability, merchantability or fitness of the Index, and do not account for business activities or services that any index user and/or its affiliates undertakes with the use of the Index.

Investors should consider this document as only a single factor in making their investment decision and, as such, the report should not be viewed as identifying or suggesting all risks, direct or indirect, that may be associated with any investment decision. Nomura Group produces a number of different types of research product including, among others, fundamental analysis and quantitative analysis; recommendations contained in one type of research product may differ from recommendations contained in other types of research product, whether as a result of differing time horizons, methodologies or otherwise. The Nomura Group publishes research product in a number of different ways including the posting of product on the Nomura Group portals and/or distribution directly to clients. Different groups of clients may receive different products and services from the research department depending on their individual requirements.

Figures presented herein may refer to past performance or simulations based on past performance which are not reliable indicators of future or likely performance. Where the information contains an expectation, projection or indication of future performance and business prospects, such

forecasts may not be a reliable indicator of future or likely performance. Moreover, simulations are based on models and simplifying assumptions which may oversimplify and not reflect the future distribution of returns. Any figure, strategy or index created and published for illustrative purposes within this document is not intended for "use" as a "benchmark" as defined by the European Benchmark Regulation. Certain securities are subject to fluctuations in exchange rates that could have an adverse effect on the value or price of, or income derived from, the investment.

With respect to Fixed Income Research: Recommendations fall into two categories: tactical, which typically last up to three months; or strategic, which typically last from 6-12 months. However, trade recommendations may be reviewed at any time as circumstances change. 'Stop loss' levels for trades are also provided; which, if hit, closes the trade recommendation automatically. Prices and yields shown in recommendations are taken at the time of submission for publication and are based on either indicative Bloomberg, LSEG or Nomura prices and yields at that time. The prices and yields shown are not necessarily those at which the trade recommendation can be implemented.

The securities described herein may not have been registered under the US Securities Act of 1933 (the '1933 Act'), and, in such case, may not be offered or sold in the US or to US persons unless they have been registered under the 1933 Act, or except in compliance with an exemption from the registration requirements of the 1933 Act. Unless governing law permits otherwise, any transaction should be executed via a Nomura entity in your home jurisdiction.

This document has been approved for distribution in the UK as investment research by Nlplc. Nlplc is authorised by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority. Nlplc is a member of the London Stock Exchange. This document does not constitute a personal recommendation within the meaning of applicable regulations in the UK, or take into account the particular investment objectives, financial situations, or needs of individual investors. This document is intended only for investors who are 'eligible counterparties' or 'professional clients' for the purposes of applicable regulations in the UK, and may not, therefore, be redistributed to persons who are 'retail clients' for such purposes.

This document has been approved for distribution in the European Economic Area as investment research by Nomura Financial Products Europe GmbH ("NFPE"). NFPE is a company organized as a limited liability company under German law registered in the Commercial Register of the Court of Frankfurt/Main under HRB 110223. NFPE is authorized and regulated by the German Federal Financial Supervisory Authority (BaFin).

This document has been approved by NlHK, which is regulated by the Hong Kong Securities and Futures Commission, for distribution in Hong Kong by NlHK. This document is intended only for investors who are 'professional investors' for the purposes of applicable regulations in Hong Kong and may not, therefore, be redistributed to persons who are not 'professional investors' for such purposes.

This document has been approved for distribution in Australia by NAL, which is authorized and regulated in Australia by the ASIC.

This document has also been approved for distribution in Malaysia by NSM.

In Singapore, this document has been distributed by NSL, an exempt financial adviser as defined under the Financial Advisers Act (Chapter 110), among other things, and regulated by the Monetary Authority of Singapore. NSL may distribute this document produced by its foreign affiliates pursuant to an arrangement under Regulation 32C of the Financial Advisers Regulations. This document is intended for accredited, expert or institutional investors as defined by the Securities and Futures Act (Chapter 289). Where the recipient of this document is not an accredited, expert or institutional investor, NSL accepts legal responsibility for the contents of this document in respect of such recipient only to the extent required by law. Recipients of this document in Singapore should contact NSL in respect of matters arising from, or in connection with, this document. **THIS DOCUMENT IS INTENDED FOR GENERAL CIRCULATION. IT DOES NOT TAKE INTO ACCOUNT THE SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS OF ANY PARTICULAR PERSON. RECIPIENTS SHOULD TAKE INTO ACCOUNT THEIR SPECIFIC INVESTMENT OBJECTIVES, FINANCIAL SITUATION OR PARTICULAR NEEDS BEFORE MAKING A COMMITMENT TO PURCHASE ANY SECURITIES, INCLUDING SEEKING ADVICE FROM AN INDEPENDENT FINANCIAL ADVISER REGARDING THE SUITABILITY OF THE INVESTMENT, UNDER A SEPARATE ENGAGEMENT, AS THE RECIPIENT DEEMS FIT.** Unless prohibited by the provisions of Regulation S of the 1933 Act, this material is distributed in the US, by NSI, a US-registered broker-dealer, which accepts responsibility for its contents in accordance with the provisions of Rule 15a-6, under the US Securities Exchange Act of 1934. The entity that prepared this document permits its separately operated affiliates within the Nomura Group to make copies of such documents available to their clients.

This document has not been approved for distribution to persons other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' (as defined by the Capital Markets Authority) in the Kingdom of Saudi Arabia ('Saudi Arabia') or a 'Market Counterparty' or a 'Professional Client' (as defined by the Dubai Financial Services Authority) in the United Arab Emirates ('UAE') or a 'Market Counterparty' or a 'Business Customer' (as defined by the Qatar Financial Centre Regulatory Authority) in the State of Qatar ('Qatar') by Nomura Saudi Arabia, Nlplc or any other member of the Nomura Group, as the case may be. Neither this document nor any copy thereof may be taken or transmitted or distributed, directly or indirectly, by any person other than those authorised to do so into Saudi Arabia or in the UAE or in Qatar or to any person other than 'Authorised Persons', 'Exempt Persons' or 'Institutions' located in Saudi Arabia or a 'Market Counterparty' or a 'Professional Client' in the UAE or a 'Market Counterparty' or a 'Business Customer' in Qatar. Any failure to comply with these restrictions may constitute a violation of the laws of the UAE or Saudi Arabia or Qatar.

For report with reference of TAIWAN public companies or authored by Taiwan based research analyst:

THIS DOCUMENT IS SOLELY FOR REFERENCE ONLY. You should independently evaluate the investment risks and are solely responsible for your investment decisions. NO PORTION OF THE REPORT MAY BE REPRODUCED OR QUOTED BY THE PRESS OR ANY OTHER PERSON WITHOUT WRITTEN AUTHORIZATION FROM NOMURA GROUP. Pursuant to Operational Regulations Governing Securities Firms Recommending Trades in Securities to Customers and/or other applicable laws or regulations in Taiwan, you are prohibited to provide the reports to others (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities in connection with the reports which may involve conflicts of interests. **INFORMATION ON SECURITIES / INSTRUMENTS NOT EXECUTABLE BY NOMURA INTERNATIONAL (HONG KONG) LTD., TAIPEI BRANCH IS FOR INFORMATIONAL PURPOSES ONLY AND IS NOT BE CONSTRUED AS A RECOMMENDATION OR A SOLICITATION TO TRADE IN SUCH SECURITIES / INSTRUMENTS.**

This material may not be distributed in Indonesia or passed on within the territory of the Republic of Indonesia or to persons who are Indonesian citizens (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the

laws of the Republic of Indonesia. The securities mentioned in this document may not be offered or sold in Indonesia or to persons who are citizens of Indonesia (wherever they are domiciled or located) or entities of or residents in Indonesia in a manner which constitutes a public offering under the laws of the Republic of Indonesia.

An individual name printed next to NOI on the front page of a research report indicates that this document is a translation of a research report issued by NOI in the PRC. In all other cases, this document is prepared by Nomura Group or its subsidiary or affiliate (collectively, "Offshore Issuers") that is not licensed in the PRC to provide securities research. This research report is not approved or intended to be circulated in the PRC. The A-share related analysis (if any) is not produced for any persons located or incorporated in the PRC. The recipients should not rely on any information contained in this research report in making investment decisions and Offshore Issuers take no responsibility in this regard. NO PART OF THIS MATERIAL MAY BE (I) COPIED, PHOTOCOPIED, REPRODUCED OR DUPLICATED IN ANY FORM, BY ANY MEANS; OR (II) REDISSEMINATED, REPUBLISHED OR REDISTRIBUTED WITHOUT THE PRIOR WRITTEN CONSENT OF A MEMBER OF THE NOMURA GROUP. If this document has been distributed by electronic transmission, such as e-mail, then such transmission cannot be guaranteed to be secure or error-free as information could be intercepted, corrupted, lost, destroyed, arrive late or incomplete, or contain viruses. The sender therefore does not accept liability (in negligence or otherwise, and in whole or in part) for any errors or omissions in the contents of this document, which may arise as a result of electronic transmission. If verification is required, please request a hard-copy version.

Nomura Securities Co., Ltd.

Financial instruments firm registered with the Kanto Local Finance Bureau (registration No. 142)

Member associations: Japan Securities Dealers Association; Investment Management Association of Japan; The Financial Futures Association of Japan; Type II Financial Instruments Firms Association; and Japan Security Token Offering Association.

The Nomura Group manages conflicts with respect to the production of research through its compliance policies and procedures (including, but not limited to, Conflicts of Interest, Chinese Wall and Confidentiality policies) as well as through the maintenance of Chinese Walls and employee training.

Additional information regarding the methodologies or models used in the production of any investment recommendations contained within this document is available upon request by contacting the Research Analysts of Nomura listed on the front page. Disclosures information is available upon request and disclosure information is available at the Nomura Disclosure web page:

<http://go.nomuranow.com/research/m/Disclosures>

Copyright © 2026 Nomura International (Hong Kong) Ltd., Hong Kong. All rights reserved.